



BW WATER

Commercial Proposal for ADASA's Taltal Desalination Plant – Brine Recovery Project - UHPRO System

Client Ref.: Proceso de Licitación 12803 SUMINISTRO
MÓDULO RO SEGUNDA ETAPA PARA SALMUERA -
PLANTA DESALADORA TALTAL (ex 12783)

To: Aguas Antofagasta S.A. (ADASA)

BW Water Americas Inc.

BWWA Ref. No: 20.24.6501.F Rev.1
September 15, 2025 | Confidential

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Commercial Proposal

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BW Water group reserves the right to alter the proposed system to incorporate technical advances realized after the date of this proposal.

BW Water's information and the recommendations presented in this proposal (hereinafter referred to as "Confidential Information") are the work product of BW Water Group and are provided solely with the understanding and agreement that the information contained in this document is submitted for evaluation only. The recipient agrees not to reveal its contents except to those in Recipient's organization necessary for evaluation and copies of this document may not be distributed outside of the Recipient organization.

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Commercial Proposal

Contents

1. COVER LETTER	4
2. CLIENT REQUIRED FORM AND SUBMISSION	6
3. BWWA COMMERCIAL OFFER	8
3.1 PRICE	8
3.2 VALIDITY	9
3.3 DELIVERY AND SCHEDULES	9
3.4 TERMS OF PAYMENT	9
3.5 WARRANTY	10
3.5.1 Warranty Exclusions	10
3.6 FIELD SERVICE	10
3.7 MANDATORY/CRITICAL SPARE PARTS LIST FOR COMMISSIONING AND START-UP PHASES	11
3.8 RECOMMENDED TWO-YEAR SPARE PARTS LIST (option)	13
3.9 ATTACHMENTS	15

Commercial Proposal

1. COVER LETTER

BW Water Americas Inc. (BWVA) is pleased to present its revised Commercial Proposal, following the discussion and clarification meeting held on September 17, 2025, and in response to the initial submission made on September 15, 2025.

As instructed, the Sworn Statement (Declaración Jurada) and Itemized Budget (Presupuesto Itemizado) documents have been resubmitted without annotations, and the previously commented BAE document has been excluded from this submission.

Following our successful completion of the prequalification process and the evaluation of our Technical Proposal Rev. 1, submitted on August 19, 2025, we received formal notification on August 26, 2025, confirming our approval to submit a commercial offer for the public tender:

“Proceso de Licitación 12803 – SUMINISTRO MÓDULO RO SEGUNDA ETAPA PARA SALMUERA - PLANTA DESALADORA TALTAL (ex 12783)”

This offer pertains to the supply of an **Ultra-High-Pressure Reverse Osmosis (UHPRO)** system, including ancillary components, for **Aguas Antofagasta S.A. (ADASA)**, as part of the **Brine Recovery Project** at the **Taltal Seawater Desalination Treatment Plant** in Chile.

Our submission reflects BWVA's commitment to becoming the selected vendor for this system package. It has been prepared in accordance with the instructions outlined in the **“Bases Administrativas Especiales” (BAE), Sections 21 and 21.1**, and is based on our Technical Proposal (Rev. 1, dated August 19, 2025), which has been evaluated and accepted by ADASA.

We are proposing a **containerized UHPRO system** designed to treat **1,176 m³/day** of brine from the existing Taltal desalination plant. The system will produce desalinated water that meets the Client's project requirements and supports the goal of increasing potable water production for human consumption, without increasing raw water extraction from existing wells.

With over **35 years of global experience** in the water and wastewater industry, BWVA offers a robust, reliable, and efficient RO solution tailored to meet ADASA's water quality and production needs. Our proposed solution, branded as **Brine Positive**, incorporates components from internationally recognized manufacturers and complies with the technical specifications and design drawings provided by the Client.

Our scope of supply includes a **standalone, containerized second-stage UHPRO system** capable of producing **21 m³/hour** at a **42.85% recovery rate**, along with all necessary ancillary components to ensure a comprehensive and integrated solution. BWVA brings proven engineering expertise, in-house fabrication capabilities, and a global network of qualified service providers to deliver a high-performance system aligned with the Client's goals.

Commercial Proposal

We look forward to the opportunity to collaborate with ADASA and contribute to the successful delivery of this important infrastructure project. Should you require any further information or clarification, we remain at your disposal.

Best regards,

BW Water Americas Inc.

Commercial Proposal

2. CLIENT REQUIRED FORM AND SUBMISSION

(Ref.: BAE - Section 21 “Entrega de Ofertas Económicas”, Section 21.1 “Documentos que se deben incluir en las Ofertas”, Section 23 “Garantía de Seriedad de la Oferta”)

In accordance with the instructions and requirements outlined in the BAE, the following forms and documents—except as noted below—have been submitted via ADASA’s Portal, which is the only authorized channel for transmitting the commercial offer package.

1. Bid Bank Guarantee (Garantía de Seriedad de la Oferta) – Physical Document Delivery to ADASA’s Oficina de Partes

Original document was delivered to the ADASA’ Oficinas de Partes before 2:00 PM Chile time

As supporting documentation, we have submitted the following via the Portal under “Doc 2.1 – BID BOND / BANK GUARANTEE COPY”:

- Copy of Bid bank guarantee (Ref. 2482725000023684, USD 26.000,00)
- Signed Copy of proof of delivery of guarantee

2. GROUP 1 (Referred to in the BAE as “SOBRE 1”)

The following documents were uploaded via ADASA’s Portal in the designated section:

- **Doc1.1_01** – FORMULARIO_DE_COTIZACIÓN_LICITACIÓN_12803 (PDF)
- **Doc1.2_01** – DECLARACIÓN JURADA N°1 PROPUESTA ECONÓMICA (PDF)
- **Doc1.3_02** – FORMATO PRESUPUESTO ITEMIZADO 12803 (PDF)
- **Doc1.3_02** – FORMATO PRESUPUESTO ITEMIZADO 12803 (Excel – Native Format)
- **Doc1.4_OPTIONAL** – 2-YEAR RECOMMENDED SPARE PARTS (PDF)
- **Doc1.4_OPTIONAL** – 2-YEAR RECOMMENDED SPARE PARTS (Excel – Native Format)
- **Doc1.5** – BWWA COMMERCIAL PROPOSAL / OFFER (PDF) (This document)

3. GROUP 2 (Referred to in the BAE as “SOBRE 2”)

The following documents were uploaded via ADASA’s Portal in the designated section:

- **Doc2.1** – BID BOND / BANK GUARANTEE COPY (PDF)
- **Doc2.2** – ACLARACIONES (Forms 1 to 10) (PDF)
- **Doc2.3_02** – DECLARACIÓN JURADA N°2 CARPETA DOCUMENTOS ANEXOS (PDF)

Commercial Proposal

- **Doc2.4_03 – DECLARACIÓN JURADA N°3 CONFLICTO DE INTERÉS 12803 (PDF)**
- **Doc2.5_04 – DECLARACIÓN JURADA N°4 CONFIDENCIALIDAD (PDF)**
- **Doc2.6_05 – DECLARACIÓN JURADA N°5 PSEC 12803 (PDF)**
- **Doc2.7_07 – DECLARACIÓN JURADA N°7 SUBCONTRATACIÓN 12803 (PDF)**
- **Doc2.8_08 – DECLARACIÓN JURADA N°8 USO APROPIADO DE CIBERACTIVOS 12803 (PDF)**
- **Doc2.9_09 – DECLARACIÓN JURADA N°9 COMPROMISO CON LA SSO 12803 (PDF)**
- **Doc2.10_10 – DECLARACIÓN JURADA N°10 PEP 12803 (PDF)**
- **Doc2.11_11 – DECLARACIÓN JURADA N°11 DDHH ADASA 12803 (PDF)**

Note: Due to file size limitations, we are not including herein the copies of documents listed in Group 1 and Group 2 above. These documents were individually submitted in their respective designated upload boxes.

Commercial Proposal

3. BWWA COMMERCIAL OFFER

3.1 PRICE

BW Water Americas (BWWA) offers to furnish the proposed Brine Positive System solution as defined in our Technical Proposal Rev. 1, dated August 19, 2025, for the following price:

- ❖ **EXW Incoterms (Ex-Works – Manufacturing and Assembly Penang, Malaysia | Materials/Components (RO Membranes, South Korea))**

Item	Description	Qty. Unit	Total Value (USD)
1	Design and supply of containerized UHPRO module system for brine recovery, as defined in Technical Proposal – Document No. 1, Section 4	1 Unit/set	\$ 579,884.00
2	Mandatory/Critical Spare Parts List for commissioning and start-up, as defined in Technical Proposal – Document No. 1, Section 14 and Commercial proposal section 3.12 (priced list)	1 Unit/set	\$ 17,310.00
3	Commissioning and Start-up Services, as defined in Technical Proposal – Document No. 2, Section 18 and related subsections. Also, Commercial proposal Section 3.11	1 Unit/set	\$ 16,797.00
TOTAL Price USD - EXW Incoterms			\$ 613,991.00

- ❖ **DDP Incoterms (Delivered Duty Paid – Taltal, Antofagasta, Chile)**

Item	Description	Qty. Unit	Total Price (USD)
1	Design and supply of containerized UHPRO module system for brine recovery, as defined in Technical Proposal – Document No. 1, Section 4	1 Unit/set	\$ 602,028.00
2	Mandatory/Critical Spare Parts List for commissioning and start-up, as defined in Technical Proposal Section 14 and Commercial proposal section 3.12(priced updated list)	1 Unit/set	\$ 17,310.00
3	Commissioning and Start-up Services, as defined in Technical Proposal – Document No. 2, Section 18 and related subsections. Also, Commercial proposal Section 3.11	1 Unit/set	\$ 16,798.00
TOTAL Price USD – DDP Incoterms			\$ 636,136.00

Commercial Proposal

❖ Options Pricing

Item	Description	Qty. Unit	Total Value (USD)
1	Recommended 2-year Spare Parts list.as defined in Technical Proposal – Section 15 and Commercial proposal section 3.13 (priced updated list)	1 Unit/set	\$43,7090 (EXW)

3.2 VALIDITY

This proposal is valid for ninety (90) days from the date of issue. After this period, pricing may be subject to escalation.

3.3 DELIVERY AND SCHEDULES

A final project execution schedule will be established based on the requirements stated in specs and a mutually agreed timeline following contract finalization. However, please refer to the preliminary chronograms provided in our Technical Proposal — Sections 11, 11.1, and 18.2 — which are based on current requirements and conditions.

- ◆ **Delivery terms offered:**
 - **Ex-Works Incoterm: BWWA's sub vendors)**
 - **DPA Incoterm: Taltal, Antofagasta, Chile.**

3.4 TERMS OF PAYMENT

The following initial payment schedule is proposed:

a) Engineering Approval – 10% of Total Price (pro rata)

Payable upon formal written approval by ADASA of critical engineering documents. A list of these documents is to be defined and mutually agreed upon.

b) Purchase Orders for Main Equipment – Approval Stage – 30% of Total Price (pro rata)

Payable once the Supplier has submitted confirmed purchase orders for the main equipment.

c) Purchase Orders for Main Equipment – Manufacturing Stage – 30% of Total Price (pro rata)

Payable once the Supplier has commenced manufacturing of the equipment.

d) Factory Acceptance Tests (FAT) – 10% of Total Price

Payable upon receipt of the FAT Approval Certificate issued by ADASA, confirming satisfactory completion of factory acceptance tests.

Commercial Proposal

e) Release of Order – 10% of Total Price

Payable upon issuance of written shipping authorization (Release Certificate) by ADASA for the module.

f) Provisional Acceptance – 10% of Total Price

Final payment to be made upon ADASA's formal approval of the Provisional Acceptance of the Order.

Payment Terms: All payments are due Net 30 days from the date of invoice submission and shall be made via wire transfer to the Seller's designated bank account.

3.5 WARRANTY

BWWA will provide a standard equipment warranty covering all furnished equipment for a period of **24 months** from the date of receipt of the **Provisional Acceptance Certificate** issued by the Client to **36 months** from the date of the last shipment of goods — whichever occurs first.

3.5.1 Warranty Exclusions

BWWA's responsibilities under this article do not extend to repairs, adjustments, alterations, replacements, or maintenance required due to:

- Normal wear and tear resulting from regular operation of the project, or
- The Buyer's failure to operate or maintain the system in accordance with the provided Operation & Maintenance (O&M) Manual.

The RO membranes warranty will be passed through directly from the manufacturer. No additional warranty will be provided by BWWA for these components.

3.6 FIELD SERVICE

Please refer to our **Technical Proposal – Section 18** and related subsections for details on the following on-site technical supervision activities included in this project:

- Installation supervision
- Commissioning and start-up, including on-site performance testing and close-out activities
- Training of ADASA personnel responsible for system operation

Any additional field services beyond the final agreed scope of work will be available under the terms outlined in the attached field service policy.

Commercial Proposal

3.7 MANDATORY/CRITICAL SPARE PARTS LIST FOR COMMISSIONING AND START-UP PHASES

A preliminary priced list of mandatory/critical spares is presented in the table below.

This list is aligned with Document P22-ET-09-000-001-0, Section 6 – Item “*Suministro de Repuestos Mandatorios para Puesta en Marcha*”, and with our Technical Proposal Rev. 1 dated August 19, 2025 – Section 14.

Manufacturer	Part #	Description	Qty.	Unit	Unit Price (USD) EXW terms	Extended Amount	Notes
Hardware							
Fil-Trek, Sysflo, or Equivalent	tba	Cartridge Filter	1	set	\$ 6,120.00	\$ 6,120.00	ET - Section 6 (related to Item 5.1.5).
tba	tba	Fuses used in the panels	1	set	\$ 410.00	\$ 410.00	ET - Section 6 (related to Item 5.4).
Rosemount, E+H, Burkert or Equivalent	tba	Pressure Transmitter	1	unit	\$ 1,720.00	\$ 1,720.00	Used in the HP system ET - Section 6 (related to Item 5.5.3).
Rosemount , Thornton, or Equivalent	tba	Conductivity sensor/electrode	1	set	\$ 1,180.00	\$ 1,180.00	Used on the line of final permeate ET - Section 6 (related to Item 5.5.5).
Flexitallic or Equivalent	tba	Seal/gasket kit	1	set	\$ 400.00	\$ 400.00	For HP Victaulic pipe ET - Section 6 (related to Item 5.2.2)
ABB, E+H, or Equivalent	tba	Flowmeter	1	unit	\$ 4,840.00	\$ 4,840.00	

Commercial Proposal

Manufacturer	Part #	Description	Qty.	Unit	Unit Price (USD) EXW terms	Extended Amount	Notes
Ashcroft, Wika, or Equivalent	tba	Pressure Gauges, SS304/316	3	unit	\$ 730.00	\$ 2,190.00	
IFM or Equivalent	tba	Level Transmitter	1	unit	\$ 450.00		
TOTAL - Mandatory Spares List						\$ 17,310.00	

Commercial Proposal

3.8 RECOMMENDED TWO-YEAR SPARE PARTS LIST (option)

A preliminary priced list of recommended 2-year Spares is presented in the table below.

This list is aligned with Document P22-ET-09-000-001-0, Section 6 – Item “*Listado y Cotización Opcional de Repuestos para Dos Años*”, and with our Technical Proposal Rev. 1 dated August 19, 2025 – Section 15. and file uploaded to ADASA Portal “Doc1.4 (PDF and excel versions)”

Manufacturer	Part No.	Description	Qty.	Unit	Unit Price (USD) EXW terms		Notes
Hardware							
Tampa Rubber EPDM Gaskets or Equivalent	Custom Part	Set of Gaskets (Low Pressure – Plastic Pipe)	4	set	\$ 240.00	\$ 960.00	
Flexitallic or Equivalent	Custom Part	Set pf Gaskets (High Pressure)	2	set	\$ 400.00	\$ 800.00	
Protec Arisawa	77DX	Flexible Coupling, Style 77DX, 2.5", Duplex bolt & SS316 nut	20	unit	\$ 150.00	\$ 3,000.00	
Protec Arisawa	2081006	RO Vessel Head Assembly	1	unit	\$ 2,380.00	\$ 2,380.00	
Protec Arisawa	4080474-1	RO Vessel Head Locking Ring	3	unit	\$ 640.00	\$ 1,920.00	
Protec Arisawa	6100442MK	RO Vessel Seal Set	2	set	\$ 510.00	\$ 1,020.00	
Protec Arisawa	5080074	RO Membrane Adapters	4	unit	\$ 580.00	\$ 2,320.00	
Fedco or Equivalent	MSD-130 repair kit	SWRO High Pressure Pump Service Kit	1	set	\$ 9,560.00	\$ 9,560.00	
Pulsafeeder, Prominent or Equivalent	LB02SA-XXXX (or equal)	Chemical Dosing Pump Repair Kit	2	set	\$ 1,780.00	\$ 3,560.00	
Foxboro, E+H or Equivalent	pH 10 (or equal)	pH Sensor	1	unit	\$ 2,060.00	\$ 2,060.00	
Foxboro, E+H or Equivalent	ORP 10 (or equal)	ORP Sensor	1	unit	\$ 2,060.00	\$ 2,060.00	

Commercial Proposal

Manufacturer	Part No.	Description	Qty.	Unit	Unit Price (USD) EXW terms		Notes
Thornton, E+H or Equivalent	Cond. Sensor	Conductivity Sensor	1	unit	\$ 1,370.00	\$ 1,370.00	
Bray or Equivalent	Series 63, 120VAC	Solenoid Valve	2	unit	\$ 1,650.00	\$ 3,300.00	
Ashcroft, Wika or Equivalent	Series 45, Monel	Pressure Gauge, Monel	2	unit	\$ 730.00	\$ 1,460.00	
Valves							
Bray or Equivalent	S01-0200	3" Lined Butterfly Valve	1	unit	\$ 1,350.00	\$ 1,350.00	
Asahi/America/Modentec or Equivalent	Type 57L	2.5" Lined Butterfly Valve	1	unit	\$ 1,290.00	\$ 1,290.00	
Asahi/America/Modentec or Equivalent	Type 57L	2" Lined Ball Valve	1	unit	\$ 1,100.00	\$ 1,100.00	
Asahi/America/Hydrosenal or Equivalent	Type 57P	4" Plastic Butterfly Valve	1	unit	\$ 550.00	\$ 550.00	
Asahi/America/Hydrosenal or Equivalent	Type 57P	3" Plastic Butterfly Valve	1	unit	\$ 500.00	\$ 500.00	
Asahi/America/Hydrosenal or Equivalent	Type 21	2" Plastic Ball Valve	1	unit	\$ 240.00	\$ 240.00	
Asahi/America/Hydrosenal or Equivalent	TB Series	1.5 Plastic Ball Valve	5	unit	\$ 240.00	\$ 1,200.00	
Asahi/America/Hydrosenal or Equivalent	Type 21	1" Plastic Ball Valve	5	unit	\$ 110.00	\$ 550.00	
TOTAL – Recommended 2 Years Spares List						\$ 43,790.00	

Commercial Proposal

3.9 ATTACHMENTS

The following documents are included after this page

1. **BWWA's Field Service Policy**

Commercial Proposal

Attachment 1

Commercial Proposal

Attachment 2